C, essentially the same position it occurred in the opposite direction on the way up, as detailed in the first part of this chapter. Ultimately, the deeper the bear market goes, the more news-oriented "reasons" people will find to become bearish on their investments. The waxing bewilderment that will have characterized the mindset of the bulls up to that point will change to concern. Hope will melt into fear, and fear will ultimately give way to panic. At 90% down, buying weakness will not be in fashion. The old arguments about bears and bargains will eventually be thrown aside, right about the time both are actually true. At the bottom, there will be *no* discernible news-oriented reason to own stocks, precisely because news is produced by the same psychology that moves markets. With that small bit of profound knowledge, you can spend all the time that most people are in panic calmly making plans to take advantage of the historic buying opportunity that awaits us at the upcoming bottom. Do not let the gloom and doom books that will then be popular (as they were in 1980-1981) paralyze you when the time to commit funds to investment markets arrives several years hence. Their publication, and their appearance on *The New York Times* best-seller list, will be a sign of the bottom, just like the "How to Get Rich By Investing in the Stock Market" books of the past four years are a sign of a top.

Today's operative word is *hope*, one of only two "four letter words" in the world of investing. The professionals who own stock today on the assumption that the economy is in "the best of all possible worlds" of contained inflation and steady growth are going to be shocked to realize in retrospect that the economy was in fact *ending* exactly such a period. Small investors who "can't live on 5% interest" and are betting the farm on stocks because they see it as their only option against slipping into poverty will be stunned to discover that their investment only served to hasten the process.

The unthinking mindset of optimism and complacency so widespread today will be balanced by a period of correspondingly extreme pessimism in coming years. Throughout the bear market, you must keep in mind that all the technical information presented in this book has profound *long term* implications. In other words, the market is going to have to suffer the extensive dissipation of today's historically optimistic mood before it will present true bargains. Despite all short term events and market movements, today's level of optimism will be an overriding factor to consider every day the market trades, even next year, the year after, and for awhile be-